d. *Households* are institutional units consisting of one individual or a group of individuals. All physical persons in the economy must belong to one and only one household. The principal functions of households are to supply labour, to undertake final consumption and, as entrepreneurs, to produce market goods and non-financial (and possibly financial) services. The entrepreneurial activities of a household consist of unincorporated enterprises that remain within the household except under certain specific conditions.

e. *Non-profit institutions serving households (NPISHs)* are legal entities that are principally engaged in the production of non-market services for households or the community at large and whose main resources are voluntary contributions. Examples for NPISHs are Trusts, NGOs, etc.

Institutional units are the economic units that can engage in the full range of transactions and are capable of owning assets and incurring liabilities on their own behalf. Examples for institutional units are manufacturing units, banks.

It is necessary to have a clear idea about 'economic territory'. The most commonly used concept of **economic territory** is the area under the effective economic control of a single government.

An economic territory includes islands, airspace, territorial waters and territorial enclaves in the rest of the world (such as embassies, consulates, military bases, scientific stations, information or immigration offices, that have immunity from the laws of the host territory) physically located in other territories. Economic territory has the dimensions of physical location as well as legal jurisdiction, so that corporations created under the law of that jurisdiction are part of that economy. The economic territory also includes special zones, such as free trade zones and offshore financial centres. These are under the control of the government and so are part of the economy, even though different regulatory and tax regimes may apply depending on the country where it is located. The territory excludes international